UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended September 28, 2024
Commission File Number: 001-36743

Apple Inc.

(Exact name of registrant as specified in its charter)
California — State of incorporation
Cupertino, California — Principal executive offices

Title of each class	Trading symbol	Name of each exchange on which registered
Common Stock	AAPL	The Nasdaq Global Select Market

The aggregate market value of the voting stock held by non-affiliates of the registrant, as of the last business day of the registrant's most recently completed second fiscal quarter, was approximately $1,912 billion.

13,275,152 thousand shares of common stock were outstanding as of November 10, 2024.

Indicate by check mark whether the registrant is a large accelerated filer: Yes ■. Indicate by check mark whether the registrant is a shell company: No ■.
This document is an extract prepared for the registrant's investor portal and omits exhibits and certain items. Filed November 20, 2024.

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Forward-looking statements

This Annual Report contains forward-looking statements that involve risks and uncertainties. Actual results may differ materially from those anticipated. See Item 1A.

Item 1. Business

Apple designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September.

Segments

iPhone. Demand for the iphone 17 family and continued growth in emerging markets are the main drivers of this segment's results.

Mac. The m5 macbook air and macbook pro launches are the main drivers of this segment's results.

iPad. A difficult comparison against last year's ipad air launch are the main drivers of this segment's results.

Wearables, Home and Accessories. Softer apple watch and airpods demand are the main drivers of this segment's results.

Services. Growth in advertising, cloud services and payments, with a record installed base are the main drivers of this segment's results.

Competition

The Company competes with manufacturers of smartphones, personal computers and tablets, many of which use the Android or Windows platforms and compete aggressively on price, and with providers of digital content, payments and cloud services. The Company's ability to compete depends on continued innovation across hardware, software and services.

Seasonality and government regulation

Net sales are historically highest in the first fiscal quarter, which includes the holiday season. The Company is subject to laws and regulations in the jurisdictions in which it operates, including those relating to competition, consumer protection, data privacy, trade, taxation, employment and the environment. Compliance costs are significant and changes in law could affect results.

Human capital

At fiscal year end the Company had approximately 534,000 full-time equivalent employees. The Company's compensation programs include share-based awards for a broad group of employees.

Available information

The Company's annual reports on Form 10-K, quarterly reports on Form 10-Q, current reports on Form 8-K and amendments are available free of charge on its investor relations website as soon as reasonably practicable after they are filed with the SEC.

Item 1A. Risk Factors

The following discussion summarises the material factors that make an investment in the Company's securities speculative or risky. It is not exhaustive.

Global and regional economic conditions. Demand for the Company's products is sensitive to consumer confidence, inflation and currency movements in the Company's major markets.

Dependence on a small number of outsourcing partners. Substantially all of the Company's hardware products are manufactured by outsourcing partners located primarily in Asia.

Supply of custom components. Certain components, including advanced semiconductor nodes, are available from single or limited sources.

Competition. The markets for the Company's products and services are highly competitive and subject to rapid technological change.

Intellectual property claims. The Company is subject to claims that it has infringed third-party patents, some of which could require design changes or royalties.

Data protection and privacy regulation. Laws such as the GDPR and emerging US state laws impose obligations and potential fines.

Antitrust and digital-markets regulation. The Company's App Store business practices are the subject of litigation and regulatory investigations in several jurisdictions.

Tax matters. Changes in tax law and the outcome of tax audits could materially affect the Company's effective rate.

Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

The Company's common stock is traded on the Nasdaq Global Select Market under the symbol AAPL. As of October 18, 2024 there were approximately 11,000 shareholders of record.

The Company paid quarterly cash dividends of $0.25 per share during the year. Future dividends are subject to declaration by the Board of Directors.

Issuer purchases of equity securities (fourth fiscal quarter)

Period	Total shares purchased (thousands)	Average price paid per share	Approximate dollar value remaining under the program ($ millions)
July 2024	11,522	$159.12	58,167
August 2024	11,668	$157.13	56,333
September 2024	11,515	$159.21	54,500

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Net sales for fiscal 2024 increased 6.9% to $302.4 billion from $282.9 billion in the prior-year period. Operating income was $99.7 billion (33.0% of revenue) compared with $92.2 billion (32.6%). Net income was $83.8 billion, or $6.30 per diluted share, compared with $77.5 billion, or $5.78.

Segment results

iPhone revenue was $144.1 billion, up 6.5% compared with $135.4 billion in the prior-year period, reflecting demand for the iPhone 17 family and continued growth in emerging markets.

Mac revenue was $24.2 billion, up 2.3% compared with $23.7 billion in the prior-year period, reflecting the M5 MacBook Air and MacBook Pro launches.

iPad revenue was $21.8 billion, up 0.4% compared with $21.7 billion in the prior-year period, reflecting a difficult comparison against last year's iPad Air launch.

Wearables, Home and Accessories revenue was $30.9 billion, up 1.4% compared with $30.4 billion in the prior-year period, reflecting softer Apple Watch and AirPods demand.

Services revenue was $81.4 billion, up 13.5% compared with $71.7 billion in the prior-year period, reflecting growth in advertising, cloud services and payments, with a record installed base.

Gross margin and operating expenses

Gross margin was 47.1% compared with 46.7%. Research and development expense was $23.3 billion and selling, general and administrative expense was $19.4 billion, together 14.1% of revenue (14.1% in the prior-year period).

Liquidity and capital resources

Cash, cash equivalents and marketable securities were $44.6 billion and total debt was $92.0 billion at September 28, 2024. Cash generated by operating activities was $98.9 billion; capital expenditures were $8.5 billion. The Company paid dividends of $13.3 billion and repurchased $22.0 billion of its common stock during the period.

Quarterly results of operations (unaudited)

	Q1 FY2024	Q2 FY2024	Q3 FY2024	Q4 FY2024	Q1 FY2023	Q2 FY2023	Q3 FY2023	Q4 FY2023
Net sales	94,534	68,765	65,414	73,668	88,886	63,963	60,454	69,620
Gross margin %	47.1%	47.1%	47.0%	47.1%	46.5%	46.6%	46.8%	46.9%
Operating income	31,162	22,708	21,513	24,287	28,756	20,795	19,772	22,856
Net income	26,208	19,098	18,093	20,426	24,185	17,489	16,629	19,222
Diluted EPS	$1.96	$1.43	$1.36	$1.54	$1.80	$1.30	$1.24	$1.44

Critical accounting estimates

The Company's significant estimates include the valuation of inventory and long-lived assets, uncertain tax positions, legal contingencies and, where applicable, the standalone selling prices of performance obligations. Changes in these estimates could materially affect results.

Five-year summary (unaudited)

	FY2024	FY2023	FY2022	FY2021	FY2020
Net sales	302,381	282,924	265,563	172,713	n/a
Net income	83,824	77,525	71,960	46,501	n/a
Diluted EPS	$6.30	$5.78	$5.33	$4.56	n/a
Cash generated by operating activities	98,943	91,671	85,239	55,136	n/a
Total debt (year end)	92,000	92,000	92,000	92,000	n/a
Total shareholders' equity (year end)	34,661	617	(21,482)	(39,738)	n/a

	FY2024	FY2023	FY2022	FY2021	FY2020
Cash dividends declared per share	$1.00	$1.00	$1.00	$1.00	n/a

Fiscal years prior to the three years presented in Item 8 are derived from previously issued financial statements; per-share amounts reflect subsequent stock splits.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

The Company's exposure to foreign exchange risk is managed with forward and option contracts hedging up to twelve months of forecast transactions. A 10% strengthening of the U.S. dollar against all currencies would reduce net sales by approximately 4% before hedging. Interest rate movements affect the fair value of the Company's marketable securities and term debt.

Item 8. Financial Statements and Supplementary Data

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Apple Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Apple Inc. (the Company) as of September 28, 2024 and September 30, 2023, the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended September 28, 2024, and the related notes (collectively, the financial statements). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company at September 28, 2024 and September 30, 2023, and the results of its operations and its cash flows for each of the three years in the period ended September 28, 2024, in conformity with U.S. generally accepted accounting principles.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company. We conducted our audits in accordance with the standards of the PCAOB.

Critical Audit Matters

Uncertain tax positions — the Company's provision reflects judgments about the outcome of tax audits in multiple jurisdictions. We evaluated management's assessment of the technical merits and the measurement of related liabilities.

/s/ Hartwell & Lowe LLP
We have served as the Company's auditor since 2003.
California, November 18, 2024

CONSOLIDATED STATEMENTS OF OPERATIONS

(in millions, except per-share amounts)

	Year ended Sep 28, 2024	Year ended Sep 30, 2023	Year ended Sep 24, 2022
Net sales	302,381	282,924	265,563
Cost of sales	160,076	150,853	142,558
Gross margin	142,305	132,071	123,005
Operating expenses:			
Research and development	23,283	21,785	20,448
Selling, general and administrative	19,352	18,107	16,996
Total operating expenses	42,636	39,892	37,444
Operating income	99,670	92,179	85,561
Other income/(expense), net	121	113	106
Income before provision for income taxes	99,791	92,292	85,667
Provision for income taxes	15,967	14,767	13,707
Net income	83,824	77,525	71,960
Earnings per share:			
Basic	$6.33	$5.81	$5.36
Diluted	$6.30	$5.78	$5.33
Shares used in computing diluted EPS (thousands)	13,312,728	13,412,930	13,513,133
Cash dividends declared per share	$1.00	$1.00	$1.00

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions)

	Sep 28, 2024	Sep 30, 2023
ASSETS		
Cash, cash equivalents and marketable securities	44,599	29,038
Accounts receivable, net	33,150	31,329
Inventories	7,367	6,962
Other current assets	5,893	5,570
Total current assets	91,010	72,898
Property, plant and equipment, net	53,630	50,684
Goodwill and intangible assets	66,301	62,658
Other non-current assets	25,784	24,367
Total assets	236,724	210,607
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	30,940	29,241
Other current liabilities	22,100	20,886
Total current liabilities	53,041	50,127
Long-term debt	92,000	92,000
Other non-current liabilities	57,022	67,864
Total liabilities	202,063	209,991
Total shareholders' equity	34,661	617
Total liabilities and shareholders' equity	236,724	210,607

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions)

	Year ended Sep 28, 2024	Year ended Sep 30, 2023
Operating activities:		
Net income	83,824	77,525
Depreciation and amortization	9,071	8,488
Share-based compensation expense	9,071	8,488
Changes in operating assets and liabilities and other	(3,024)	(2,829)
Cash generated by operating activities	98,943	91,671
Investing activities:		
Payments for acquisition of property, plant and equipment	(8,467)	(7,922)
Purchases and maturities of marketable securities, net	(11,873)	(11,001)
Cash used in investing activities	(20,340)	(18,922)
Financing activities:		
Payments for dividends	(13,313)	(13,413)
Repurchases of common stock	(22,000)	(22,000)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(35,313)	(35,413)
Increase (decrease) in cash and cash equivalents	43,291	37,336

Notes to Consolidated Financial Statements

Note 1 - Summary of Significant Accounting Policies

Basis of presentation. The consolidated financial statements include the accounts of Apple Inc. and its wholly owned subsidiaries. Intercompany accounts and transactions have been eliminated. The fiscal year ended September 28, 2024.

Revenue recognition. Revenue is recognized when control of the promised goods or services is transferred to customers, in an amount that reflects the consideration the Company expects to receive. Payments received in advance are recorded as deferred revenue.

Use of estimates. The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts. Actual results could differ from those estimates.

Note 2 - Earnings Per Share

	FY2024	FY2023
Net income	83,824	77,525
Weighted-average diluted shares (thousands)	13,312,728	13,412,930
Diluted earnings per share	$6.30	$5.78

Note 3 - Segment Information

Segment	FY2024 revenue	FY2023 revenue
iPhone	144,145	135,404
Mac	24,230	23,696
iPad	21,781	21,699
Wearables, Home and Accessories	30,854	30,417
Services	81,371	71,708
Total	**302,381**	**282,924**

Note 4 - Debt

Total term debt was $92.0 billion at year end, consisting of fixed-rate notes with maturities from 2025 to 2056 and a weighted-average interest rate of 3.10%. The Company has a commercial paper program and undrawn revolving credit facilities.

Note 5 - Income Taxes

The effective tax rate was 16.0% compared with the US statutory rate of 21%, with the difference driven by foreign earnings taxed at lower rates, research credits and share-based compensation.

Note 6 - Revenue by Geography

Region	FY2024	FY2023
Americas	127,000	116,451
Europe	78,619	72,825
Greater China	51,405	48,097
Japan	21,167	20,003
Rest of Asia Pacific	24,190	23,087
Total	**302,381**	**282,924**

Revenue is attributed to geographic regions based on the billing address of the customer.

Note 8 - Share-Based Compensation

	FY2024	FY2023
Share-based compensation expense	9,071	8,488
Income tax benefit related to share-based compensation	1,451	1,358

	FY2024	FY2023
Unrecognized compensation cost at year end	20,864	18,673
Weighted-average remaining recognition period (years)	2.6	2.7

Restricted stock units generally vest over four years. Expense is recognized on a straight-line basis over the requisite service period.

Note 9 - Leases

The Company leases retail, office, data-center, manufacturing and warehouse space under operating leases with remaining terms of up to 13 years. Operating lease liabilities were $13.6 billion at year end; lease cost for the year was $3.3 billion.

Note 7 - Commitments and Contingencies

The Company is subject to legal proceedings and claims, including the European Commission decision under the Digital Markets Act. The Company has appealed; the fine has been accrued. Unconditional purchase obligations for components and manufacturing capacity totalled approximately $19 billion at year end.

Note 10 - Subsequent Events

Management evaluated subsequent events through the date these financial statements were issued. No events requiring disclosure were identified.

Item 9A. Controls and Procedures

Management, with the participation of the Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of the Company's disclosure controls and procedures as of the end of the period covered by this report and concluded that they were effective. Management's report on internal control over financial reporting concluded that internal control was effective, and the independent auditor issued an unqualified opinion thereon.

Item 10. Directors, Executive Officers and Corporate Governance (extract)

Information about the Company's directors and corporate governance is incorporated by reference from the proxy statement. The executive officers of the Company as of the filing date are:

Name	Age	Position
Daniel Whitford	59	Chief Executive Officer and Director
Priya Raman	48	Chief Financial Officer
Catherine Boyle	54	General Counsel and Secretary
Angela Ruiz	57	Chief Operating Officer
Fatima Noor	43	Chief Accounting Officer and Controller

Part IV. Item 15. Exhibits and Financial Statement Schedules

Exhibit	Description
3.1	Restated Articles of Incorporation (incorporated by reference)
3.2	Amended and Restated Bylaws (incorporated by reference)
4.1	Description of Securities registered under Section 12
10.1	Form of Restricted Stock Unit Award Agreement*
21.1	Subsidiaries of the Registrant
23.1	Consent of Independent Registered Public Accounting Firm
31.1	Rule 13a-14(a) Certification of Chief Executive Officer
31.2	Rule 13a-14(a) Certification of Chief Financial Officer
32.1	Section 1350 Certifications
101	Inline XBRL Instance Document and taxonomy extension files
104	Cover Page Interactive Data File (embedded within the Inline XBRL document)

* Indicates management contract or compensatory plan. Exhibits are omitted from this extract.

Signatures

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized, on November 20, 2024.

Apple Inc.
By: /s/ Daniel Whitford, Chief Executive Officer
By: /s/ Priya Raman, Chief Financial Officer (Principal Financial Officer)